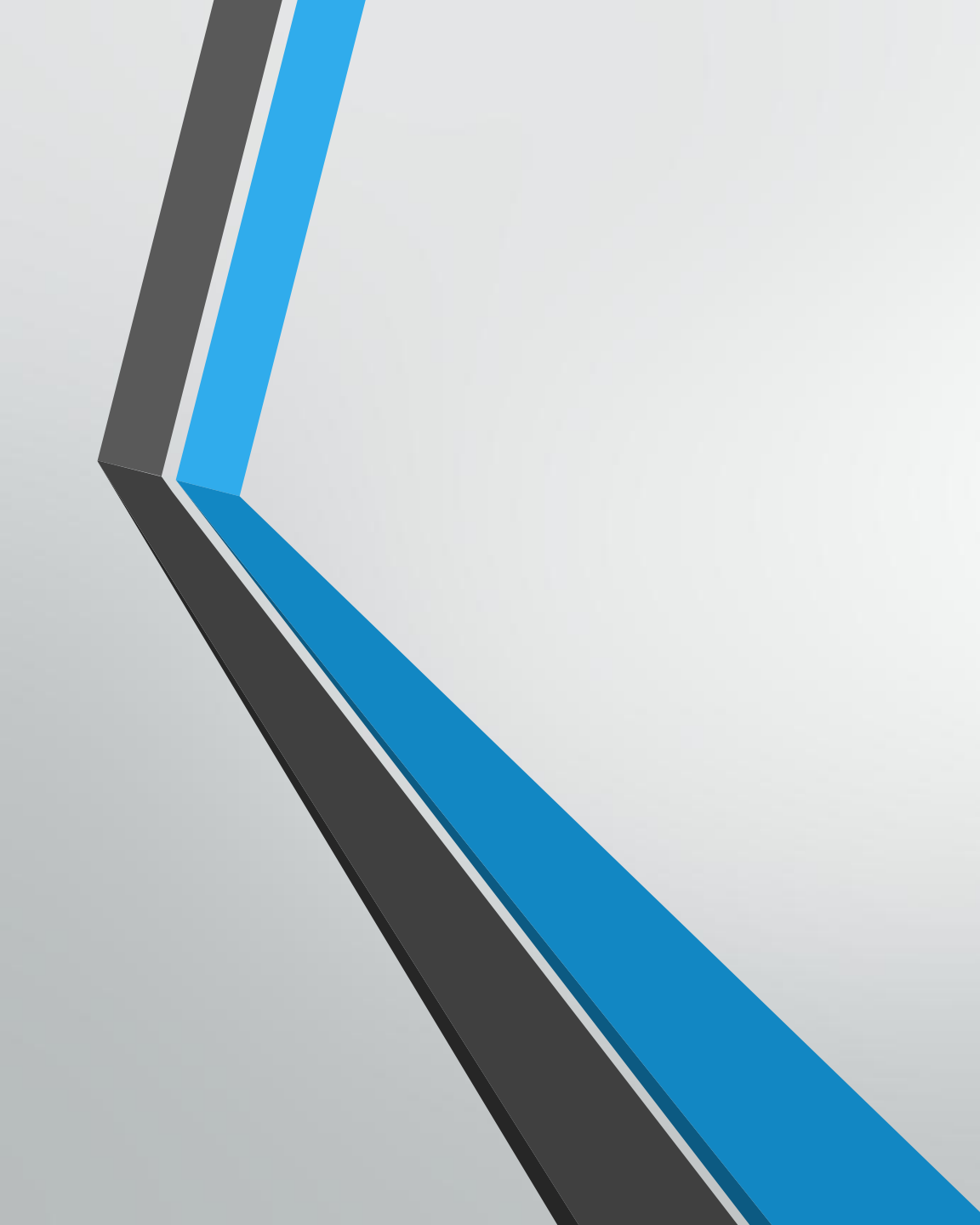




IT Procurement Management

IS4105- Lecture 06

Presenter- PKDK Kaushalya

Procurement Negotiation



Why is meant by procurement negotiation?

Procurement negotiation is the process of **discussing and agreeing on terms and conditions** between a buyer and a supplier to reach a mutually beneficial agreement.

Why is negotiated?

- Price
- Quality
- Delivery time
- Payment terms
- Service level agreements



Why procurement negotiation is needed?

- Reduces costs
- Improves supplier relationships
- Ensures quality and reliability
- Minimizes risks
- Creates long-term value

Types of Negotiation

- Distributive Negotiation
 - One party gains at the expense of the other
- Integrative Negotiation
 - Both parties gain

Distributive Negotiation



Distributive negotiation is a competitive, "win-lose" strategy used to divide a fixed amount of resources, where one party's gain is another's loss.

Integrative Negotiation



Integrative negotiation is a collaborative "win-win" strategy where parties explore interests, share information, and creatively expand options to achieve mutually beneficial agreements, rather than competing over fixed resources.

Integrative Negotiation	Distributive Negotiation
Integrative negotiation is known for the intention of a win-win for both parties.	The outcome of distributive negotiation is characterized as a win-lose as it only aims for personal gains or benefits.
It is a type of negotiation in which both parties utilize mutual problem-solving techniques to increase the assets that are to be divided.	It is a strategy in which a fixed amount of resources are divided among the parties.
It is more of a collaborative strategy.	It is more of a competitive negotiation strategy.
The approach in integrative negotiation is more open and constructive.	The approach in the negotiation is more controlled and selective.



Procurement Negotiation Process

